

GreenPath Community Foundation

Expense Policy & Prior Month Summary

1. Capitalization Policy

Any single physical asset with a unit price of \$2,400.00 or greater MUST be classified as a Capital Expenditure. If a single check or invoice contains both capital assets and non-capital consumables, the amounts must be split and capitalized appropriately. Near-misses (e.g., items costing \$2,399) remain classified as standard supplies or consumables.

2. Returned Items (NSF)

When a customer check bounces, the bank typically issues a combined debit for the returned check amount plus a returned item fee. GreenPath's bank charges a flat \$15.00 NSF fee per returned item. During reconciliation, you must split any combined NSF debit into two parts: a \$15.00 bank fee expense, and a revenue reversal for the remainder.

August 2025 Bank Reconciliation Summary

Prepared by: Accounting Dept

Bank Balance as of Aug 31, 2025:		\$45,000.00
Add: Deposits in Transit		
Aug 31 Gift Shop Deposit		\$612.40
Less: Outstanding Checks		
Check #1001	\$300.00	
Check #1002	\$150.00	
Check #1003	\$400.00	(\$850.00)
Adjusted Book Balance as of Aug 31, 2025:		\$44,762.40

3. Special Policy Exceptions (IMPORTANT)

- **Materiality Rule:** Any bank error under \$50.00 is considered immaterial. Do NOT adjust the bank balance. Instead, write it off on the book side as Miscellaneous Expense.
- **Stale-Check Rule:** Any outstanding check older than 45 days by month-end must be voided and added back to the book balance. (Note: Check #1003 was issued on August 5th, making it 56 days old by September 30).
- **NSF Fee Waiver:** GreenPath's bank waives the \$15.00 NSF fee for the first bounced check of the month. The September 22 NSF return is the first of the month, so no fee should be recorded.

4. Auditor's Source Truth Notes (Q3 Verifications)

- Verified vendor invoice: The true and correct amount for the Maple Print Check #1004 is \$1,520.00.
- Verified donor receipt: The true and correct amount for the DEP-0915 General Donations is \$6,850.00.
- Verified vendor invoice: The projector unit cost for Check #1005 was \$2,400.00, and cables were \$380.00.